

Court No. - 37

Case :- WRIT - C No. - 43614 of 2012

Petitioner :- M/S Hindustan Glass Works Ltd.

Respondent :- State Of U.P. Thru Secy. And Others

Petitioner Counsel :- Ranjit Saxena,Deepak Saxena

Respondent Counsel :- C.S.C.,Mahboob Ahmad

Hon'ble Ashok Bhushan,J.

Hon'ble Abhinava Upadhya,J.

As prayed by Sri Mahboob Ahmad, learned counsel appearing for the respondents-Corporation, put up on Monday, i.e., 3.9.2012 as fresh.

Order Date :- 31.8.2012

SKM

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Hon'ble Ashok Bhushan,J.

Hon'ble Abhinava Upadhya,J.

Heard Sri Ranjit Saxena, learned counsel for the petitioner and Sri Mahbood Ahmad, learned counsel appearing for the respondents-Power Corporation.

By means of this writ petition the petitioner has prayed for quashing the recovery proceedings arising out of protective load charges for the months of May, 2012, June, 2012 and July, 2012. The petitioner has challenged the aforesaid electricity bills for the aforesaid months in which protective load charges have been included. The challenge is to the imposition and inclusion of the said charges.

We are of the view that this writ petition is not for recovery and be heard by a Bench hearing writ petitions of the Corporation.

Put up this matter day after tomorrow, i.e., 5.9.2012 as fresh before the appropriate Bench.

Order Date :- 3.9.2012

SKM

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Respondent Counsel :- C.S.C., Mahboob Ahmad

Hon'ble Yatindra Singh, J.

Hon'ble Mahendra Dayal, J.

1. The petitioner is a public limited company registered under the Indian Companies Act. It manufactures glass.
2. The petitioner entered into an agreement with U.P. Power Corporation Ltd., now represented by Purvanchal Vidyut Vitran Nigam Ltd. (referred as the Corporation) on 1.5.2005 for the supply of electricity.
3. After the agreement was entered into between the parties, the Corporation started supplying the electricity to the petitioner and also raised the bill from time to time which was paid by the petitioner.
4. According to the petitioner, there is no dispute between the parties that all the bills raised by the Corporation prior to May, 2012 have been paid. In the month of May, 2012 in the bill raised by the Corporation protective load charges were also charged/included. This is objected by the petitioner.
5. According to the petitioner, the entire subsequent bills minus the protective load charges have been paid.
6. Initially, the petitioner filed his objection before the concerned Executive Engineer and then before the Superintendent Engineer of the Corporation. Both the objections were dismissed on 4.7.2012 and 25.8.2012. Hence this writ petition.
7. We have heard counsel for the parties.
8. The counsel for the petitioner submits that :
 - Under the agreement, the Corporation is not entitled to charge protective load charges and it is for this reason that till April, 2012 no protective load charges were mentioned in the bill.
 - The protective load charges are defined under clause 4.27 of U.P. Electricity Supply Code, 2005 (the Code) and under its sub-clause (f) it could only be charged from the consumers who supplied electricity from an independent feeder.
 - The petitioner was not given electrical supply through independent feeder, as such the protective load charges cannot be charged.
 - Independent feeder is provided in the cases cover under clause 3.4 of

the Code. The petitioner is not covered by this clause. It was not given supply through independent feeder.

- In any case, protective load charges can only be charged when the power supply is given continuously for 24 hours. Power supply was not given to the petitioner continuously for 24 hours and there has been huge loss to the petitioner to the tune of crores of rupees. The Corporation is not entitled to charge protective load charges under the agreement.

9. The counsel for the respondents submit that :

- Under clause 3.4 (a) of the Code, the electric supply of 1000 KVA and above is to be given only through independent feeder;
- The petitioner is using Induction Furnace and its load is more than 1000 KVA;
- The electricity can be supplied to the petitioner only through an independent feeder and not otherwise.
- In fact the petitioner has been given the electricity through an independent feeder and is liable to pay protective load charges. Merely because in the preceding years it was not charged due to the mistake, it does not mean that he cannot be charged the protective load charges.

10. The submissions made by the counsel for the parties are important. However, we decline to go into them as in paragraph 16 of the agreement between the parties, there is an arbitration clause.

11. It would be appropriate that the petitioner may raise his dispute in arbitration proceedings. In case any such dispute is raised, the arbitrator will decide this dispute by a reasoned order.

12. At this stage, we wish to point out that the agreement between the parties is from 2005. In case the Corporation has not mentioned in the bill about protective load charges, then it was not because of any fraud or mistake by the petitioner. The mistake may be that of the Corporation itself. The corporation will also consider this aspect and may consider postponing its recovery from the petitioner, till the disposal of the arbitration proceedings.

13. With the aforesaid observations, the writ petition is dismissed.

Order Date :- 5.9.2012

vs